H – Parcel Tax to Fund Muni Operations

Shall the City fund Muni service through a new annual parcel tax on real estate at rates ranging from $129 per parcel up to a maximum of $400,000 per parcel, depending on the type of property and its size and adjusted annually for inflation, for estimated revenue of $177 million a year for 15 years?

YES	◯
NO	◯

This measure requires 50%+1 affirmative votes to pass.

Digest by the Ballot Simplification Council

The Way It Is Now: The Municipal Railway (Muni) provides public transit in San Francisco, including bus, light rail, streetcar, and cable car. Muni provides over 500,000 rides per weekday. Muni service is funded by transit fares and local, state and federal sources, but not through a parcel tax.

State law limits the total revenue, including tax revenue, that the City may spend each year. The voters may approve increases to this limit for up to four years.

Owners of rent-controlled residential property in the City are generally limited in what costs they can pass onto their tenants.

The Proposal: Starting July 1, 2027, and continuing until June 30, 2042, Proposition H would fund Muni service through a new annual parcel tax on real estate in San Francisco. The tax would be adjusted annually for inflation.

The proposed 2027 tax rates would be:

- **Single-Family Residential Parcels:**
  - A base tax of $129.
  - For buildings with more than 3,000 square feet of building area:
    - $0.42 per square foot between 3,001 and 5,000, and
    - $1.99 per square foot over 5,000.
- **Multifamily Residential Parcels:**
  - A base tax of $249.
  - For buildings with more than 5,000 square feet of building area:
    - $0.195 per square foot over 5,000.
  - This tax is capped at $50,000 per parcel.
- **Non-Residential Parcels:**
  - A base tax of $799.
  - For buildings with more than 5,000 square feet of building area:
    - $0.76 per square foot between 5,001 and 50,000,
    - $0.84 per square foot between 50,001 and 250,000, and
    - $0.99 per square foot over 250,000.
  - This tax is capped at $400,000 per parcel.
- **Mixed-Use Parcels:**
  - A base tax of $799.
  - For buildings with more than 5,000 square feet of building area:
    - A combination of the marginal rates for residential and non-residential parcels above.
  - This tax is capped at $400,000 per parcel.
- **Parcels with No Buildings:**
  - No base tax.
  - $392 for land area over 2,000 square feet.

The tax would not apply to:

1. Properties or portions of properties not required to pay standard property taxes; and
2. Single Room Occupancy (SRO) units and their shared facilities such as kitchens or bathrooms.

Most homeowners aged 65 or older living in their primary home would get a discount or pay no tax.

Revenues from the tax would only be used for Muni service and administering the tax. In addition to the annual required audit by an independent auditor, an annual report and efficiency review would be required.

This measure would increase the City's spending limit for four years.

The above statement is an impartial analysis of this measure. Arguments for and against this measure immediately follow.
The full text begins on page 222. Some of the words used in the ballot digest are explained starting on page 62.

Owners could pass up to 50% of the tax onto tenants in rent-controlled units where the rent was set before June 1, 2027, up to a maximum of $65 per unit per year.

A "YES" Vote Means: If you vote "yes," you want the City to fund Muni service through a new annual parcel tax on real estate.

A "NO" Vote Means: If you vote "no," you do not want to make these changes.

Controller's Statement on "H"

City Controller Greg Wagner has issued the following statement on the fiscal impact of Proposition H:

Should the proposed parcel tax be approved by the voters, in my opinion, based on currently available parcel data it would generate approximately $177 million annually for Muni transit service starting in Fiscal Year (FY) 2027-2028, and would increase over time as the per parcel taxes are adjusted for inflation each year. The cost to government to administer this parcel tax could range from approximately $2 million to $3 million in one-time startup costs, and from approximately $4 million to $6 million annually in ongoing costs.

Revenues would be deposited into the Stronger Muni Fund to support Muni transit service operations and administration.

The proposed tax would start at $129 per year for single-family residential parcel building areas that are up to 3,000 square feet, $249 for multifamily residential parcel building areas that are up to 5,000 square feet and $799 for non-residential parcel and mixed-use parcel building areas up to 5,000 square feet. The tax for each property would increase with the square footage of the building area and would have a maximum tax amount for non-single family residential parcels. For unimproved parcels with 2,001 or more square feet of land area, the tax would be $392. Seniors of 65 years or older and some other groups can apply to SFMTA for an exemption or reduction from the tax. Total revenue will depend on the number of exemptions requested and granted.

Landlords of rent-controlled residential units are limited in the amount of the parcel tax they can pass through to tenants to 50% of the parcel tax for a maximum of $65 per unit annually, unless the unit is exempt from the parcel tax or base rent is set on or after June 1, 2027. Properties or portions of properties that are exempt from ad valorem property taxes, as well as single-family parcels whose owners are sixty-five or older and occupy the property as a primary residence, would be exempt from the parcel tax. A deduction of $249 would apply for each unit in a multi-family residential parcel that is occupied by an owner that is sixty-five or older and that occupies the property as a primary residence.

The City does not currently use square footage, parcel use type, or unit number data as a basis for taxation. The cost to validate and maintain these data, establish and maintain exemptions and manage appeals would increase the cost of government by approximately $2 million to $3 million in one-time startup costs, then approximately $4 million to $6 million annually, likely decreasing over time. The total cost would be dependent on future operational and staffing decisions made by the SFMTA. Additional costs may include the financial efficiency review, ongoing community outreach and education costs, and other administrative costs to implement the tax.

Note that the proposed measure would change the duties of the Controller's Office, which has prepared this statement.

How "H" Got on the Ballot

On June 12, 2026, the Department of Elections certified that the initiative petition calling for Proposition H to be placed on the ballot had a sufficient number of valid signatures to qualify the measure for the ballot.

10,615 signatures were required to place an initiative ordinance on the ballot. This number is equal to 2% of the registered voters at the time a "Notice of Intent to Circulate Petition" was published. A random check of the signatures submitted by the proponents of the initiative petition prior to the July 6, 2026, submission deadline showed that the total number of valid signatures was greater than the number required.